3 Government and Politics in Hong Kong: A Colonial Paradox

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Government and politics in British Hong Kong are a paradox. Constitutionally the political system is that of a Crown Colony created in the Victorian era, which had remained little changed until a decade ago. Before the concessions were made in the mid-1980s to allow for a limited degree of public representation and participation, it was an entirely autocratic system. It provided near-absolute power to its head, the Governor, who was appointed by and answerable only to the British Government almost half-way across the world. Nevertheless, the British administration of Hong Kong had managed to fulfil by the early 1980s the requirements of 'as good a government as practicable' in the political tradition not of the British Empire–Commonwealth but of China. This is an achievement which hardly any Chinese government has achieved at least since the days of Confucius (c.551–479 BC).

The focus of this chapter is to seek an explanation for this paradox by examining the nature of British rule in Hong Kong. It begins with a short explanation of the requirements of 'as good a government as practicable' in the Chinese political tradition. Then follows critical analysis of the founding and evolution of the British administration in Hong Kong in its first century. It goes on to highlight the impact of the Pacific War on the nature of the colonial government, and examines how all the requirements came to be fulfilled by the early 1980s. It ends with a different paradox: having met the requirements, in the mid-1980s the Hong Kong Government found itself at risk of falling short of local expectations again, after Britain and China agreed that the territory should be returned to Chinese rule in 1997.

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'THE BEST POSSIBLE GOVERNMENT' IN THE CHINESE POLITICAL TRADITION

It is beyond the scope of this chapter to engage in a discourse on the sources of the Chinese political tradition or the intellectual origins of the ideal government in this tradition. For our purposes, it can be argued that the mainstay of the Chinese political tradition is Confucianism as modified over the ages. The proper way to govern as explained by Confucius in *The Analects* is to 'uphold and promote the five virtues and suppress the four evils'.[1] As the basis for good government in the Confucian view is centred on the gentleman-official, he explained that the five virtues were for the gentleman-official to bring to the people benefits instead of drudgery; to work for the people without complaint; to pursue the right cause and not succumb to advancing self-interest; to promote prosperity without becoming arrogant; and to maintain dignity and authority without being harsh.[2] The four evils, in turn, were defined by Confucius as enforcing the death penalty without first providing proper education to the people; demanding immediate results without giving due notice; penalising others for one's negligence; and withholding payment when or where it was due.[3] Mencius added that governments exist 'for the sake of the governed, to give the people peace and sufficiency, and to lead them by education and example to the life of virtue'.[4]

The ideal government in the Confucian tradition would be one constituted by gentlemen and headed by a sage-king, which would meet all the requirements outlined above. Such a government, however, has not existed in the recorded history of China.[5] In the absence of this ideal, what the Chinese looked for was a government constituted by upright Confucian gentlemen-officials who were expected to act like wise and benevolent paternal figures to the people. The act of government itself, however, was seen by the common people in terms not dissimilar to garbage collection. It was an essential job which had to be done efficiently and effectively, but it was also one which should preferably be done out of sight. In other words, the best government which seems practicable is one which is efficient, fair, honest and paternalistic, but at the same time non-intrusive into the lives of the ordinary people.

The generally accepted way to achieve this was to constitute an administration by Confucian gentlemen of high scholarly and moral standing.

FOUNDATIONS OF THE HONG KONG GOVERNMENT

Hong Kong was not founded by the British as a Crown Colony to serve the interests of China, even less as a political experiment to test the practicality of the ideal government in the Chinese political tradition. It was founded in the 1840s to serve British interests, which were described by William Gladstone (Secretary of State for the Colonies, 1845–46) as 'solely and exclusively ... commercial'.[6] While the advancement of the interests of the Chinese Empire or of the Chinese inhabitants there was not part of the British intention, the British also had no objection should their occupation of Hong Kong also prove advantageous to the Chinese. In time it did. As British Hong Kong developed, it gradually came to be seen by those Chinese who migrated there and by the more reform-minded Chinese as serving them well. The first group voted for Hong Kong with their feet, as this alien enclave provided them with stability, good order and a congenial socio-political environment to enrich themselves. To the latter group, Hong Kong was actually a source of inspiration and a model for China. Sun Yat-sen, generally accepted by the Chinese as the pioneer of their republican revolution, admitted that his 'ideas for the revolution had come entirely from Hong Kong'.[7] In 1923, he publicly paid tribute to the British for their achievements in turning a 'barren island' into modern Hong Kong in seven to eight decades, something which China had failed to achieve in its four thousand years of civilisation.[8] Nonetheless, if British rule has turned out to be positive and acceptable to the Chinese of Hong Kong it was, at least in its formative years, not designed for this end.

When Hong Kong was founded as a colony it was meant to be the base for supporting British trade with China.[9] In the mid-nineteenth century it had to be a naval station and a military base as well.[10] From the outset it was an outpost of the British Empire and was never meant to be a settlement colony.[11] It was created a free port in order to promote inter-

national trade in the broadest sense, where merchants from all nations were welcomed.[12] The Chinese in particular were encouraged to trade there. Indeed, after occupying the island in 1841 the British Plenipotentiary, Captain Charles Elliot, and his top military aide proclaimed that 'Chinese ships and merchants resorting to the Port of Hongkong for purposes of Trade are hereby exempted ... from charge or duty of any kind'.[13] For a century no impediment to their entry to and residence in this British Colony was imposed. Indeed, this British Colony was, from the day it was founded, populated more by the Chinese than by Britons. Nevertheless, British institutions were introduced and a political system established, but not, at least in its first century, with any deep British understanding of what the Chinese wanted in a government.

The Crown Colony structure created by the British was not unique to Hong Kong despite British recognition that the territory was 'an exception to ordinary rules' even within their diverse colonial empire.[14] The structure of government was defined by the constitution, which consisted of the Letters Patent of 5 April 1843 and the Royal Instructions issued a day later.[15] These established a government under a Governor, who was assisted and advised by an Executive Council and a Legislative Council. When founded, Hong Kong's political system was 'typical of other British Crown Colonies' of the time.[16]

Given the commercial motives behind the British occupation of Hong Kong, the colonial government did not attempt to spread British civilisation or convert the Chinese to a British way of life. It concerned itself primarily with the affairs of the British and the non-Chinese community at least in its first century, even though this community never exceeded a few percentage points of the total population. By comparison, the majority, the Chinese community, was treated as if it was of tangential interest to the colonial government. For their part, the Chinese preferred to keep to themselves, and in line with their political tradition avoided dealings with the administration as far as possible. The government responded by generally leaving them to manage their own affairs as long as good order was maintained and, by British standards, no evil deeds were perpetrated.[17] Most government departments devoted the bulk of their time and resources to deal with the

non-Chinese community; and only one department, that of the Registrar-General's office (renamed the Secretariat for Chinese Affairs in 1913), concerned itself almost solely with the welfare of the Chinese community. The colonial government maintained minimal contacts with the native population, which was not unusual in territories ceded to the British Empire in the nineteenth century. Although the British policy of 'benevolent neglect' implied that the government did very little for the Chinese, it also meant the government was not oppressive.

THE PARADOX OF BRITISH IMPERIAL RULE

The irony of British imperial rule in Hong Kong is that, while it was originally devised with relatively little regard to what the local Chinese population wanted, it did in time come to meet all the basic requirements of 'as good a government as possible' in the Chinese political tradition. This was achieved not by the method prescribed by Confucius and his disciples over two millennia, namely the setting up of a government composed of Confucian gentlemen-officials. The British did not set out to fulfil this Chinese aspiration. Nonetheless, after a century and a half the administration they set up would meet the basic conditions for such a government, viz., efficiency, fairness, honesty, benevolent paternalism, and non-intrusion into the lives of ordinary people.

From its earliest days the non-intrusive requirement was met to a large extent unwittingly as the British adopted for their own reasons a policy of neglect *vis-à-vis* the Chinese. The British administration was mainly interested in providing the basic political and legal infrastructure for all residents. Admittedly, there existed for a long time what Peter Wesley-Smith has described as a body of 'anti-Chinese legislation' in the Hong Kong statute book,[18] and the non-Chinese openly discriminated against the Chinese before the Pacific War (1941–45). However, most of these measures were passive discrimination, such as excluding the Chinese from residing in the Peak district, rather than active measures that interfered with the lives of the ordinary Chinese.[19] Since the Chinese preferred to keep to themselves, their own lives were generally

not disrupted by such legislation. Active intrusion by the colonial government was also limited by its own small size and the aloofness of many of its senior officials.[20] Moreover, except during the First World War the Hong Kong Government levied no income tax and, apart from a short time in 1941, imposed no immigration controls on its border with China in the first century of its rule.[21] It also organised only a haphazard registration of births and made no attempt to direct the economy. Even when the government, from the local Chinese point of view, became intrusive over sanitary matters towards the end of the nineteenth century as a plague was beginning to spread, it was simply responding to a pressing health problem.[22] In reality, most Chinese residents in the first one hundred years of British rule had little to do with the government except for occasional encounters with government functionaries involved in postal, sanitary or similar services. Those who had had a brush with the law or had suffered some misfortune might have had to deal with the police, or district watchmen, or the fire service or the government medical service.

One may question whether this policy of non-interference was maintained in the mid-1920s when nationalism emerged as a major political force in China. In 1925 the British became a target of Chinese nationalism during the 'May Thirtieth Incident' in Shanghai, during which the British-commanded municipal police in the International Settlement opened fire on some Chinese demonstrators. In response, a 'strike-boycott' by workers in Hong Kong was organised and enforced by the Chinese Communists, who were at that time allied to the nationalistic Guomindang (Kuomintang) which formed the government of Canton.[23] While the rise of nationalism in China forced the British Government to review its policy towards South China generally, the 'strike-boycott' had more limited effect on the policy of the Hong Kong Government.[24] As the Guomindang launched its Northern Expedition to unify the country in 1926 it re-directed the force of Chinese nationalism to the north. Once Canton stopped enforcing the 'strike-boycott', Chinese workers of Hong Kong returned to work. As a result the Hong Kong Government did not alter its policy of leaving the local Chinese alone, though it did actively locate and expel

Communist activists from the Colony. On the whole British Hong Kong had a record of non-intrusion not rivalled by any government in the recorded history of China.

The efficiency requirement was also met by the Hong Kong Government from its foundation. The administration which the British established in 1841 was small and simple but was efficient for what was required of it. For a people used to a system where formal government stopped at the *xian* or county level,[25] who were generally not demanding of the government, there was little which the local Chinese had expected of the government that was not handled with reasonable expedition before the Pacific War. After the war, public expectations in Hong Kong rose, but the colonial administration also expanded in size and in scope often in response to public demands. A Resettlement Department, for example, was created in 1954 when the Government started to provide public housing to victims of disasters and the destitute. The administration also became increasingly more sophisticated, as it recruited specialists and professionals to assist its general administrators. It continued to earn a reputation of being both efficient and effective.

As far as fairness is concerned, the local Chinese came to feel satisfied well before the centenary of British Hong Kong. There is no question that the colonial government in the last century had adopted summary measures against the Chinese, for example, by cutting off their queues – a major public humiliation at that time – for minor offences.[26] But this compared well with what the Chinese would have expected from officialdom in their own country. Notwithstanding racial and other prejudices of that time, to which magistrates and judges were as susceptible as other human beings, the British courts generally treated the Chinese brought in front of them according to the law. If the alien nature of the British legal system provoked negative Chinese reactions at first, in time 'the English spirit of the rule of law' came to be 'deeply admired' by the local Chinese.[27] Even left-wing Chinese critics of Hong Kong who disliked it for being 'a commercial centre where there was no culture' admitted that the British 'colonists were mostly members of the Conservative Party [*sic*] who [would] invariably ... abide by the law'.[28] Compared to the conditions prevailing across the border in China since

1841, the independent judiciary in Hong Kong was well received by the local people.

By 1941 when the British prepared to celebrate their centenary in Hong Kong, which also coincided with the outbreak of the Pacific War, the Hong Kong government had unquestionably already met three of the five basic prerequisites for as good a government as practicable in the Chinese tradition. The remaining two are that of honesty and benevolent paternalism. They were not met until the post-war period.

The Pacific War set off a chain of events which resulted in a major change in the nature of British rule in Hong Kong. The crumbling of the eastern front of the British Empire in the face of the Japanese onslaught in the winter of 1941–42 rocked British imperial rule in Asia to its foundations. The victory of the Japanese, an oriental power, further encouraged most Asian people of European empires to oppose European imperialism more strongly. In Hong Kong, the colony's fall to the Japanese created a new situation. The inability of the British Empire to defend it forced the beleaguered British Government to reach an understanding with the Chinese Government under Chiang Kai-shek in the course of the war.[29] The understanding was that the future of the New Territories, which were leased by the Chinese to the British and added to the Colony of Hong Kong in 1898, 'was a matter for discussion after victory [was] won'.[30] The bottom line was that Britain would have to consider 'a resumption of Chinese sovereignty there [i.e. Hong Kong] ... [as] part of the general deal' for a settlement in the Far East.[31] At the end of the war there was a general feeling among both the local Chinese and returning Britons that the restoration of the *status quo ante* in Hong Kong had become unacceptable.

After the British recovered Hong Kong, the basic attitude which underpinned the pre-war regime had to change. The responsible British officials recognised this and described it loosely in terms of what Sir Cecil Harcourt, head of the British Military Administration (1945–6), called 'the 1946 outlook'.[32] Among the Chinese there existed an expectation of an undefined new deal. As part of 'the 1946 outlook' the British quickly, unceremoniously, and quietly removed the uglier side of their imperial rule of the pre-war days. The first law to go was legalised opium smoking.[33] It was followed by ending the

reservation of the Peak district for Caucasians.[34] Other discriminatory legislation against the Chinese was also removed gradually. The old attitude that the Chinese and the non-Chinese communities could go on living their own separate lives with little interaction was being eroded. In contrast to the pre-war situation, the Hong Kong Government after the war actually tried to make itself a good government for its Chinese, as well as non-Chinese, inhabitants. It was built on the basis of 'the 1946 outlook', and on the recognition that the very survival of British rule in Hong Kong would depend on winning over the hearts and minds of the majority Chinese residents.

The British concern over the future of Hong Kong was heightened at the end of the war when a serious dispute developed between Britain and China. Under wartime arrangements Hong Kong fell into the China theatre of the Allied Powers and was therefore within the sphere of Chiang Kai-shek's command. Mindful of Chiang's desire to recover Hong Kong and the 'extremely difficult and embarrassing task in getting the Chinese out of the place' if they got there first, the British decided to preempt such an eventuality by sending in a naval task force under Rear Admiral C. J. Harcourt.[35] The British were correct in assuming that Chiang's government did actively examine various formulae to recover the New Territories and Hong Kong proper.[36] However, in August 1945 Chiang was preoccupied with the more urgent task of racing against the Chinese Communists to retake territories under Japanese occupation in mainland China itself. The abruptness of the British move provoked Chiang to insist on his rights as Supreme Allied Commander of the China Theatre.[37] He also appealed to President Harry Truman of the United States for support.[38] Unlike his predecessor F. D. Roosevelt, who reportedly said he 'would go over Churchill's head ... [and] appeal to the King and to Parliament' to support Chiang,[39] Truman 'would not be driven into fighting Chiang's battles for him'.[40] He sided with the British and deemed the issue 'primarily a military matter of an operational character'.[41] When Chiang realised that he did not have the backing of the United States he eventually acquiesced in the British re-occupation of Hong Kong.[42] But the dispute 'poisoned Anglo-Chinese relations',[43] and reinforced the British concern over the future of Hong Kong.

After the war ended, both the British and the Chinese governments privately explored a solution to the issue of Hong Kong. The British Government examined various different schemes ranging from holding on to Hong Kong, to returning the leased New Territories, to retroceding the entire Colony.[44] After some serious internal debates the Foreign Office was inclined to surrender sovereignty in return for securing British 'rights and interests in Hong Kong for, say, thirty years and to negotiate with the Chinese a position by which Hong Kong could function as a secure commercial base for not only British but also international interests'.[45] For its part, the Chinese Foreign Ministry was thinking along the lines of Chiang Kai-shek's 1943 instruction that, once Britain returned Hong Kong to China, the Chinese Government would voluntarily establish a free port there.[46] Chiang, however, was unwilling to accept a Chinese free port of Hong Kong as a condition for the British retrocession.[47] The Chinese Ambassador to London, Wellington Koo, raised the issue with Foreign Office Minister, Noel Baker, in June 1946 to test the water, but he did not ask to open negotiations.[48] However, between 1945 and 1949 Chiang's government was engulfed in a vicious civil war with the Communists, and therefore could not take any initiative despite voluminous appeals from many different local officials and councils within China.[49] The Chinese Communists who took power in China in 1949 had earlier deemed Hong Kong 'a diplomatic issue' to be resolved peacefully.[50] Their rationale was to use Hong Kong to support economic rehabilitation in China, to break the United States-led economic embargo (after 1950), and to use it to drive a wedge between Britain and the United States over their Far Eastern policies.[51] Despite private assurances by the Chinese Communists the British had to deal with questions about the future of Hong Kong.[52] The presence of a powerful and nationalistic regime in mainland China seeking the eventual retrocession of Hong Kong created in the Hong Kong Government what Thomas Metzger and Ramon Myers have called an 'inhibited political center'.[53] The colonial government became aware that should it provoke a domestic crisis for whatever reasons it would risk its very own existence.

The first post-war Governor, Sir Mark Young, who had been in charge of the disastrous yet gallant defence against the

Japanese in 1941, was fully alive to the precarious position of British rule in Hong Kong. Consequently he was very keen to push for political reform with which he hoped to build up a sense of identity and belonging among the local Chinese. He saw it as essential to give 'practical effect to the general desire of its inhabitants to remain under British rule and to resist absorption by China'.[54] He tried to do this by advocating the introduction of an elected municipal council, which would be given 'the fullest responsibility ... within its allotted sphere' with 'no power either of veto or of certification ... reserved to the Governor or to the Governor-in-Council'.[55] Young's plan was quietly dropped after his departure as his successor, Sir Alexander Grantham, did not believe the Chinese could be converted into loyal British subjects.[56] However, this did not mean the end of the 'inhibited political center' effect. Nor did it put an end to the constant need for policy-makers to strive to provide good government in Hong Kong.

Even though all the positive features of the pre-war style of government were quickly restored and improved upon, the evolution of the administration to one which would meet the remaining requirements of 'as good a government as practicable' in the Chinese tradition had a slow start. This was partly because most of the senior positions in the restored civil government were filled by pre-war officials, and the reform-minded Young retired in 1947. Although most of them recognised the need to change, they still lacked the drive and imagination required for new initiatives. Only by the second half of the 1960s, after most of them had retired and were replaced by more energetic and forward-looking post-war recruits, were such constraints removed.

In the meantime the aloofness, arrogance, pomposity, and callousness with which expatriate Britons treated the Chinese before the war largely ceased.[57] The idea of treating the Chinese as equals gradually came to be accepted. This was complemented by the rise of a Chinese middle class. In sharp contrast to the pre-war generation, who had no wish to involve itself in local politics, the post-war generation was not content to watch and admire the development of the British institutions from the sidelines. Those who came of age after the mid-1960s naturally aspired to participation in various aspects of public life.[58] They had received a good Western education and

developed new attitudes. Increasingly they mixed with their non-Chinese fellow citizens in the business as well as in the public sectors. They also became more and more active in politics. In the rest of the world, colonialism after 1945 had become unpopular and unacceptable. Within the British Empire what Prime Minister Harold Macmillan called the 'wind of change' had by the 1960s turned most of the bigger colonies into independent Commonwealth countries. It also made Hong Kong's Crown Colony system appear increasingly out of date.

A further impetus to change was the incidence of major disturbances in Hong Kong in the mid-1960s. In 1966 two days of non-politically motivated disturbances known as the 'Star Ferry Riots' highlighted the need for the government to have a regular and effective channel to explain its policies to the people, and to assess public opinion.[59] But it was the much larger-scale and politically inspired disturbances of 1967 which changed attitudes within the administration. Known locally as 'the confrontation' it was an overspill of the Maoist-directed Cultural Revolution in China, and was seen by the Hong Kong government as an attempt 'to force the Government into a position of subservience to communist domination'.[60] Despite the colonial government's ability to maintain order, the confrontation reminded everyone of the fundamental vulnerability of British rule. The Governor of the time, Sir David Trench, had wanted before the disturbances to improve communications between the government and the people, but had encountered resistance. However, such a suggestion was broadly supported after 1967.[61]

Thus from 1968 the Hong Kong Government set out to turn itself into not only an efficient, effective, fair, non-intrusive, and basically honest administration, but also one which would be responsive to the needs and wishes of its people. This involved certain structural changes and reforms of the existing system. They included the creation of a City District Officer system, the substantial expansion of the network of advisory committees, and the considerable enhancement of the roles of the unofficial members of the Urban, Legislative and Executive Councils.[62] But the fulfilment of the last two remaining conditions of a good government in the Chinese tradition – honesty and benevolent paternalism – depended on two

other major developments, namely the launching of a successful campaign against corruption and the dramatic expansion of welfare provisions.

Although most senior officials in the Hong Kong Government were in fact honest even prior to 1941, this was of no relevance to the ordinary Chinese residents. The latter hardly ever dealt with senior officials directly and drew their conclusions on the basis of their contacts with government functionaries. The strict separation between senior officials and functionaries meant the latter were only loosely supervised. Before the war petty corruption was rampant in the lower levels of the administration, particularly, but not exclusively, in the police force.[63]

While the Hong Kong Government after 1945 improved greatly on the record of its pre-war predecessor on almost all counts, it did not do so on that of corruption. By the late 1960s the problem had become more serious as the old barrier between senior and junior officers was eroded. In the police, for example, the career barrier between gazetted and lower ranks was abolished, and superintendents ceased to be recruited directly and divorced from day to day work in police stations. The result was that in time policemen who had been corrupt as constables or inspectors were promoted to gazetted rank, and they would not and, indeed, could not suddenly stop being corrupt upon promotion. By the late 1960s corruption had reached the middle and in a few cases even the higher echelons of the police and other parts of the administration.

Recognising the severity of the problem, Governor Trench made the fateful decision to tackle this problem earnestly. There is, however, a basic problem inherent in solving this problem particularly in a common law environment. It is the existence of a vicious circle. All corruption cases involve at least two parties, but since both parties have broken the law and are often 'satisfied' neither is willing to testify against the other in court.[64] Conviction is therefore extremely difficult to secure. Reviewing the matter in the early 1960s, the Solicitor-General found it necessary to maintain a balance between the need to protect the human rights of suspects and the need for draconian powers essential to make successful prosecutions.[65] Trench decided to tip the balance in favour of the introduction of more draconian power and the result was the

Prevention of Bribery Ordinance of December 1970. Armed with such new powers, the Police investigated the conduct of one of its Chief Superintendents, Peter Godber, up to then the most senior official under suspicion in the post-war era. As will be explained below, this set off a chain of events which dramatically changed the public perception of the integrity of the Hong Kong Government.

The investigation took two years to gather sufficient evidence for action to be taken against Godber, who had earned a reputation of being efficient and courageous particularly during the 1967 confrontation. As he had previously been in command of the police at the airport and still had a pass for the restricted area, Godber fled for England. His escape inflamed the public, who responded by joining a 'Fight corruption, catch Godber' campaign organised by local activists of the post-war generation.[66] There existed in Hong Kong at the time certain widespread and well-entrenched popular myths. The most important one was that the colonial government was corrupt from the bottom right up to the top, and that it would only, in a graphic local Chinese description, 'swat the flies, not catch the tigers'. The Government's response to this groundswell of public opinion was to create an Independent Commission Against Corruption (ICAC) in February 1974. It turned out to be an important landmark in the history of Hong Kong. In local folklore it marked the beginning of the government's break with the past when corruption was tolerated. In reality it was merely a high point in the campaign against corruption, but the public perception of the Government changed as a result.[67]

This institutional change was, however, no guarantee that the campaign would be successful. It succeeded because the government shared the public conviction that corruption was no longer acceptable. There was no resistance in the upper echelons of government because, despite Chinese opinion at that time, most if not all top officials were not themselves corrupt, and had no vested interests to protect. Instead, they by then believed such a campaign was crucial to the well-being of Hong Kong, since the Godber case had 'done so much to denigrate Hong Kong in the eyes of the world'.[68] The rapid success of the ICAC depended on the extradiction of Godber, which happened in 1975. Bringing him to justice served to

dispel to a considerable extent the myths outlined earlier. By the early 1980s the back of syndicated or organised bureaucratic corruption had been broken, and public opinion had changed so much that, unlike the pre-Godber days, corruption was no longer to be tolerated. Corruption by individuals or small groups, however, did continue covertly as it did in most societies.[69] But the overall success of the anti-corruption campaign gave the government a reputation for honesty and integrity.

The other major development was the expansion and systematisation of the provision of welfare. Except during the early stages of the Japanese invasion of China, from 1937 to 1941, the Hong Kong Government had a policy not to feed or house the destitute, lest it would in the words of a former Governor 'encourage any more of China's 400 millions (the pre-war population) to come begging for free lodging and free food'.[70] This policy continued until the early 1950s. In Christmas 1953 a disastrous fire among squatter huts in Shek Kip Mei rendered 50 000 people homeless. A public housing scheme was introduced as an emergency measure. Once the pressure for emergency relief was over, this initiative was unceremoniously turned into a massive resettlement programme.[71] In addition, a rudimentary but efficient and universal health service was instituted for a nominal charge.[72] This was complemented by the rapid expansion, albeit in a poorly planned and somewhat haphazard manner, of public education.[73] Despite these changes the colonial government continued its public commitment to a *laissez-faire* policy, which later came to be known more popularly as the 'positive non-intervention' policy.[74] While these changes were started mainly under the governorship of Sir Alexander Grantham, they were intensified by his two successors, who shared the same career background and outlook on this matter. This approach of providing welfare without a formal welfare policy and subject to the availability of resources achieved impressive results by 1971, when the last old-style colonial Governor Trench retired.

Trench's successor took a different view. A career diplomat, Sir Murray MacLehose did not share the outlook and reticence of his colonial predecessors. To him 'welfare' was an appealing policy, provided it meant a system that was econom-

ically sustainable and whose provisions were not abused. MacLehose's governorship (1971–82) also coincided with a period of economic growth even more spectacular than the remarkable achievements of the earlier post-war period. Compared to the preceding ten years, when per capita GDP increased by 2.8 times, it grew by five times between 1971 and 1981.[75] MacLehose governed at a time when rapid expansion in welfare provisions was affordable. He was also politically astute and directed his administration to devise impressive welfare programmes and gave them massive publicity. His flagship was the Ten Years Housing Scheme which he boldly claimed 'would lead to the virtual disappearance of squatter areas, eliminate overcrowding and sharing in both private and public housing ... and would also keep pace with the natural expansion of the population'.[76] Although it was presented as a new initiative, such a massive project was built on foundations laid by his predecessor. Nevertheless, it was MacLehose's new approach in handling the welfare issue that caught the imagination of the people. As real progress was made on the welfare front, including also the introduction of a public assistance scheme and universal free education for nine years, the public perception of the government as reflected in newspaper editorials changed. Since the public was not used to the idea of a welfare state and did not feel they had a right to receive welfare from the government, the new policy under MacLehose gradually earned it a caring reputation. As welfare was provided on application only, its provision did not make the government appear to the ordinary people to be intruding into their lives. Under MacLehose, the Hong Kong Government passed the test of benevolent paternalism.

By the early 1980s the Hong Kong Government had cast off its pre-war colonial image, but it had not become democratic. Its constitutional structure was still that of a Crown Colony. It was run by bureaucrats and, like all governments, it continued to make specific policy mistakes occasionally. A notable example was the imposition in 1984 of a new licence-fee for taxis which was so badly handled that it caused a major riot. The new fee was withdrawn as a result. However, as the Hong Kong Government limited its span of control more than its counterparts elsewhere, it also made fewer mistakes than many other governments in the modern world. On the whole

it was efficient, effective, conscientious, fair, honest and responsive to public opinion. Its widespread though limited welfare provisions, and its ability to stay one step ahead of public opinion most of the time had also made it 'paternal' in the traditional Chinese sense. It is therefore reasonable to conclude that, by then, after almost a century and a half, the Hong Kong Government finally reached the standard of 'as good a government as practicable' in the traditional expectations of the Chinese.

THE ULTIMATE IRONY

It is ironic that after the early 1980s when the British government of Hong Kong had lived up to the requirements of the Chinese political tradition, it took only a few years to find itself at risk of falling short of local public expectations. By that time a distinct Hong Kong political culture had emerged and local expectations had changed.[77] Even meeting the standard of the ideal government in the Chinese tradition was not then enough. The people of Hong Kong increasingly wanted democracy. The track record of the colonial government and the British Government's 1984 declaration to 'build up a firmly-based, democratic administration in Hong Kong in the years between now and 1997'[78] suggest this local demand would have been accommodated, if it had been a matter for the British to decide. It was not.

The restraining factor has been the Chinese government. Deng Xiaoping, the paramount Chinese leader, made it clear that democracy involving direct elections in Hong Kong was objectionable as it would not guarantee the return of candidates acceptable to the Chinese government.[79] The Chinese Government representative in Hong Kong, Xu Jiatun, put such views vigorously. In November 1985 he made this point forcefully at a press conference, and reiterated it privately to the Governor's unofficial advisers.[80] Within a month, the British agreed to the Chinese demand, accepting that political reform under the British would dovetail with the Basic Law for the Hong Kong Special Administrative Region. At that time, the drafting of the Basic Law had just started, and would not be completed until 1990.[81] In the second half of the 1980s the

process of democratisation was slowed down while public demand for it continued to grow. It is paradoxical that it has taken British imperial rule in Hong Kong to deliver a government which meets the requirements of 'as good a government as possible in the Chinese tradition'. However, the ultimate irony must be that such a government began to fall short of the expectations of the local Chinese when the direction and pace of political change came to be dominated by the Central People's Government of the People's Republic of China.

NOTES

1. *Lunyu*, X:20, (annotated by Zhu Xi) (Taibei: Jinfeng chuben gongxi, 1987), p. 284. My own translation.
2. Ibid.
3. Ibid.
4. Wm Theodore de Bary, Wing-tsit Chan & Burton Watson (comp.), *Sources of Chinese Tradition* (New York: Columbia University Press, 1960), p. 101.
5. According to Wm Theodore de Bary the idea of a 'sage-king was a Chinese reality before it became a Confucian myth'. If he is correct, the ideal government in the Confucian tradition might well have existed before Confucius. Wm Theodore de Bary, *The Trouble with Confucianism* (Cambridge, Mass.: Harvard University Press, 1991), p. 3.
6. British official archives at the Public Record Office, Kew, *CO129/13*, William Gladstone to Sir John Davis, dispatch of 7 March 1848.
7. Quoted in Liu Shurong (ed.), *Yizhi yiye zong guanqing* (Hong Kong: Hong Kong University Press, 1993), p. 11. My translation.
8. Liu (ed.), *Yizhi yiye*, p. 10.
9. *CO129/1*, The Treaty of Nanking, 29 August 1842, Article III.
10. G. S. Graham, *The China Station: War and Diplomacy 1830–1860* (Oxford: Clarendon Press, 1978), p. 248.
11. *FO17/75*, James Stephen to H. U. Addington, letter of 3 June 1843.
12. *CO129/3*, Lord Aberdeen to Sir Henry Pottinger, dispatch 4, 4 Jan. 1843.
13. Reproduced in G. R. Sayer, *Hong Kong 1841–1862: Birth, Adolescence and Coming of Age* (with additional notes by D. M. Emrys Evans) (Hong Kong: Hong Kong University Press, 1980), additional notes, p. 25.
14. *CO129/2*, Lord Stanley to Pottinger, dispatch 8, 3 June 1843.
15. The two documents are reproduced in full in Steve Tsang (ed.), *A Documentary History of Hong Kong: Government and Politics* (Hong Kong: Hong Kong University Press, 1995), pp. 19–21, and pp. 22–30 respectively.

16. Kathleen Cheek-Milby, *A Legislature Comes of Age: Hong Kong's Search for Influence and Identity* (Hong Kong: Oxford University Press, 1995), p. 37.
17. Jung-fang Tsai, *Hong Kong in Chinese History: Community and Social Unrest in the British Colony 1842–1913* (New York: Columbia University Press, 1993), p. 38.
18. Peter Wesley-Smith, 'Anti-Chinese Legislation in Hong Kong', in M. K. Chan (ed.), *Precarious Balance: Hong Kong Between China and Britain, 1842–1992* (Armonk, NY: M. E. Sharpe, 1994).
19. The Peak was the best known but not the only area reserved for Caucasians.
20. Even after a century of expansion the colonial government had an establishment of only 35 administrative officers in 1941. Taking into account training and long leave requirements, merely 26 officers were available for running the administration at any one time. For a graphic account of the life and work of a District Officer in the immediate post-war period, see Austin Coates, *Myself a Mandarin: Memoirs of a Special Magistrate* (Hong Kong: Heinemann, 1968).
21. *CO1030/383*, Annex to Officer Administering the Government to the Colonial Secretary, savingram 1744, 10 Oct. 1956.
22. For details, see George B. Endacott, *A History of Hong Kong*, second edition (Hong Kong: Oxford University Press, 1964), pp. 216–20.
23. There were also disturbances in 1922 as a result of a strike by Chinese seamen. For both incidents, see Lau Kit-ching Chan, *China, Britain and Hong Kong 1895–1945* (Hong Kong: Chinese University Press of Hong Kong, 1990), pp. 169–219.
24. For Britain's responses to the rise of Chinese nationalism, see Edmund S. K. Fung, *The Diplomacy of Imperial Retreat: Britain's South China Policy, 1924–1931* (Hong Kong: Oxford University Press, 1991).
25. T'ung-tsu Ch'u, *Local Government in China Under the Ch'ing* (Stanford: Stanford University Press, 1962), p. 1.
26. Peter Wesley-Smith, 'Anti-Chinese Legislation in Hong Kong', p. 96.
27. Yu Ying, 'Yingguo de fazhi jingshen (The English Spirit of Rule of Law)', *Dazhong shenghuo*, no. 18, 13 Sept. 1941, p. 423.
28. Yu Sheng, 'Xianggang Xiaoji (Notes on Hong Kong)', *Qiantu*, vol. 2, no. 5, 1 May 1934.
29. One article which deals specifically with this subject is Lau Kit-ching Chan's 'The Hong Kong Question during the Pacific War (1941–45)', *Journal of Imperial and Commonwealth History*, vol. II, no. 1, Oct. 1973, pp. 56–78. However, neither this article nor an updated version of it in Chan's *China, Britain and Hong Kong 1895–1945* has made any use of the Colonial Office archives on the subject.
30. *CO825/42/55104/2*, John Paskin's letter to Ashley Clarke, 23 Aug. 1943. For the leasing of the New Territories, see Peter Wesley-Smith, *Unequal Treaty 1898–1997: China, Great Britain and Hong Kong's New Territories* (Hong Kong: Oxford University Press, 1983).
31. *CO825/35/55104*, Minutes by Colonial Secretary Lord Cranborne, 14 July 1942.

32. Sir Cecil Harcourt, 'The Military Administration of Hong Kong', *Journal of the Royal Central Asian Society*, vol. 34, 1947, p. 15.
33. See Norman Miners, *Hong Kong Under Imperial Rule, 1912–1941* (Hong Kong: Oxford University Press, 1987), p. 276.
34. *Hong Kong Hansard 1946* (Hong Kong: South China Morning Post, 1946), p. 63.
35. *CO129/591/16*, G. E. Gent's minutes (for the Secretary of State), 4 Aug. 1945.
36. For example, see Republic of China Foreign Ministry Archives (Taipei) *Waijiaobu 312.72*, Liang Long to Guo Dehua (T. W. Kwok), letter 1/1907, 26 Sept. 1944. Its enclosure is a proposal for recovering Hong Kong and the leased territory.
37. *Waijiaobu 323*, Waijiaobu [Foreign Ministry] to British Embassy, memo of 17 Aug. 1945.
38. *Waijiaobu 323*, K. C. Wu to T. V. Soong [Foreign Minister; in Washington Embassy], telegram of 21 Aug. 1945 [in English].
39. Eisenhower Library (Abilene, Kansas), D. D. Eisenhower Papers, Whitman Files, Dulles–Herter Series Box 3, J. F. Dulles June 1954 (3), Eyes-only message for President from Ambassador Hurley dated 28 May 1945.
40. Harry S. Truman, *Memoirs of Harry S. Truman 1946–52 Volume II: Years of Trial and Hope* (New York: Doubleday, 1956), p. 64.
41. *Foreign Relations of the United States 1945*, vol. VII (Washington: US Government Printing Office, 1969), p. 509, Secretary of State to Ambassador in China, 21 Aug. 1945.
42. *Waijiaobu 323*, Chiang Kai-shek to General Douglas MacArthur, letter [in English] of 23 Aug. 1945.
43. Lanxin Xiang, *Recasting the Imperial Far East: Britain and America in China, 1945–1950* (Armonk, NY: M. E. Sharpe, 1995), p. 44.
44. *FO371/54052*, F6208/2129/g6, Annex VI (The Status of Hong Kong) to 'British Foreign Policy in the Far East', 14 April 1946.
45. *FO371/53655*, F10572/113/g10, China Department memo 'The future of Hong Kong' (3rd draft), 18 July 1946.
46. *Waijiaobu 323*, Executive Yuan Order (addressed to Foreign Ministry) no. 1776, 24 March 1943.
47. Ibid.
48. *Waijiaobu 312.72*, Gu Weijun [Wellington Koo] to Waijiaobu [Foreign Ministry], telegram 61, 29 June 1946.
49. Numerous telegrams and appeals, for example, from county legislatures and local officials can be found in *Waijiaobu 312/72*. Other Waijiaobu files also have appeals from officials and parliamentarians.
50. *FO371/75779*, F124/1016/10, C. B. B. Heathcote-Smith to L. H. Lamb, letter of 2 Dec. 1948.
51. S. N. Goncharov, J. W. Lewis & Litai Xue, *Uncertain Partners: Stalin, Mao, and the Korean War* (Stanford: Stanford University Press, 1993), p. 40; and Xu Jiatun, *Xu Jiatung Xianggeng Huyilu* [Xu Jiatung's Memoirs of Hong Kong] (Taibei: Lianhebao, 1993), vol. II, pp. 473–4.
52. *CAB128/16*, CM54(49)2, 29 Aug. 1949. The British policy was set out in full in cabinet paper CP(49)177 of 19 Aug. 1949.

53. Ramon Myers (ed.), *Two Societies in Opposition: The Republic of China and the People's Republic of China* (Stanford: Hoover Institution Press, 1991), p. xviii.
54. *CO537/1651*, Sir Mark Young to Arthur Creech-Jones, confidential dispatch of 22 Oct. 1946.
55. *CO537/1651*, Young to Creech-Jones, dispatch 145, 22 Oct. 1946.
56. *CO537/5400*, Minutes of 6th meeting held on 28 and 29 March 1950. For an in-depth analysis of the tortuous path leading to the abandonment of Young's reform proposals, see Steve Tsang, *Democracy Shelved: Great Britain, China and Attempts at Constitutional Reform in Hong Kong 1945–1952* (Hong Kong: Oxford University Press, 1988), pp. 63–182.
57. G. B. Endacott (with Alan Birch), *Hong Kong Eclipse* (Hong Kong: Oxford University Press, 1978), p. 313.
58. For examples of such views, see Zhongmin, 'Xianggeng de daxuesheng gaiqi dan zhengji [Hong Kong's undergraduates begin to talk politics]', *Zhongguo minzhu lundan*, vol. II, no. 8, 15 April 1966.
59. *Report of Commission of Inquiry into the Kowloon Disturbances 1966* (Hong Kong: Government Printer, 1967), pp. 127 & 148.
60. *Hong Kong Disturbances 1967* (Hong Kong: Government Printer, undated), p. 2.
61. Ian Scott, *Political Change and the Crisis of Legitimacy in Hong Kong* (Hong Kong: Oxford University Press, 1989), pp. 103–4.
62. Steve Tsang, *A Documentary History of Hong Kong*, pp. 211–19.
63. For a typical assessment of the problem by a Governor in the middle of the last century, see *CO129/120*, Sir Richard MacDonnell to Lord Carnarvon, dispatch 183, 7 Jan. 1867.
64. *Hong Kong Hansard 1969*, pp. 67–8 (address by Governor Trench on 26 Feb. 1969).
65. *CO1030/1386*, Solicitor-General to Colonial Secretary, minute 20, 11 March 1961.
66. T. W. Lo, *Corruption and Politics in Hong Kong and China* (Buckingham: Open University Press, 1993), p. 89.
67. For the Hong Kong Government's attempts to tackle corruption prior to 1970, see Tsang, *A Documentary History of Hong Kong*, pp. 179–86.
68. *Hong Kong Hansard 1973–74*, p. 15 (address by Governor Sir Murray MacLehose on 17 Oct. 1973).
69. *Annual Report on the Activities of the Independent Commission Against Corruption for 1983* (Hong Kong: Government Printer, 1983), p. 17.
70. Alexander Grantham, *Via Ports: From Hong Kong to Hong Kong* (Hong Kong: Hong Kong University Press, 1965), p. 153.
71. Grantham, *Via Ports*, p. 156.
72. A. J. Youngson, *Hong Kong Economic Growth and Policy* (Hong Kong: Oxford University Press, 1982), p. 126.
73. Anthony Sweeting, *A Phoenix Transformed: The Reconstruction of Education in Post-War Hong Kong* (Hong Kong: Oxford University Press, 1993), pp. 91 and 114.
74. Norman Miners, *The Government and Politics of Hong Kong* (fifth edition) (Hong Kong: Oxford University Press, 1991), p. 47.

75. *Estimates of Gross Domestic Product 1961 to 1995* (Hong Kong: Census and Statistics Department, 1996), p. 13.
76. *Hong Kong Hansard – Session 1972–3*, p. 4 (Governor's address 18 Oct. 1972).
77. Steve Tsang, 'China and Political Reform in Hong Kong', *The Pacific Review*, vol. 2, no. 1, 1989, pp. 68–9.
78. *House of Commons Debates (Hansard)*, vol. 69, no. 23, p. 471 (Speech by Foreign Office minister Richard Luce on 5 Dec. 1984).
79. Deng Xiaoping, *Deng Xiaoping Wenxuan*, vol. III (Beijing: Renmin chubenshe, 1993), p. 220.
80. Mark Roberti, *The Fall of Hong Kong: Britain's Betrayal and China's Triumph* (New York: John Wiley & Sons Inc., 1994), pp. 158–9.
81. Xu Jiatun, op. cit., p. 177.